CASCADIA ANALYTICS

Ethos Technologies Inc.

Equity Research Note | LIFE | 30 OCTOBER 2026

Distribution Compounder Priced as a Fad

Ethos Technologies Inc. screens as a Buy with a $79.52 blended target, 83% above the current price.

Analyst: Justin Wen

REFERENCE PRICE	BLENDED TARGET	BLENDED UPSIDE	
$43.39	$79.52	+83%	BUY

Investment Thesis

Distribution Compounder Priced as a Fad. Ethos is an asset-light life insurance distribution platform growing revenue above 100% with a contracted renewal-commission asset, priced at 3.9x guided FY2026 sales with a market-implied growth rate below our Bear case.

The latest print

Distribution Compounder Priced as a Fad. Ethos is an asset-light life insurance distribution platform growing revenue above 100% with a contracted renewal-commission asset, priced at 3.9x guided FY2026 sales with a market-implied growth rate below our Bear case.

$189.6M	$35.2M	$1,758
REVENUE (Q2 '26)	ADJUSTED EBITDA (Q2 '26)	ARPU (Q2 '26)

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Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 '26)	$189.6M	+113%	Up
Adjusted EBITDA (Q2 '26)	$35.2M	19% margin	Up
ARPU (Q2 '26)	$1,758	-8%	Down

The moat

Activated policies +133% YoY in Q2 2026 to 107,847; H1 activations 196,220

The growth engine

FY2026 guidance: revenue $727-731M, adjusted EBITDA $119-123M; $100M Class A repurchase authorized

Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

SCENARIO	2027-31 CAGR	2031 REVENUE	2031 EBIT MARGIN	TARGET	UPSIDE
Bear	14.6%	$1.66B	12.2%	**$42.32**	-2%
Base	21.8%	$2.33B	16.2%	**$77.96**	+80%
Bull	27.0%	$2.94B	19.7%	**$119.84**	+176%

Bear: downside case at $42.32 (-2%).

Base: central case at $77.96 (+80%).

Bull: upside case at $119.84 (+176%).

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The probability-blended target implies 83% upside

The blended target implies +83% from the $43.39 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

$79.52
BLENDED TARGET

The valuation uses a five-year discounted cash flow framework (FY2027-2031) across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix states each scenario's growth and margin posture and its outputs: horizon revenue, enterprise value, equity value and target.

The discount rate is a peer build, because Ethos has no usable beta of its own: the shares listed in January 2026, major data vendors return no beta for the stock, and nine months of post-IPO trading cannot support a stable estimate. We start from Goosehead Insurance at 1.453, the closest listed analog, and decay linearly to 0.570, the median beta of the mature broker set of Brown & Brown, Arthur J. Gallagher, Aon and Erie Indemnity. That decay is the largest single judgment in this model. If beta instead stayed at 1.453 for the whole forecast with no decay, the Base target falls to $43.54, essentially the $43.39 reference price, and the Buy disappears; if decay were immediate, Base rises to $83.94. We do not present the decay as a fact about Ethos; it is the house convention for maturing compounders applied to a documented peer proxy, and it does more work in this initiation than in any other we have published this year because the starting beta is high and the equity weight is 99.36 percent. Investors who reject beta decay on principle should use $43.54 as our Base value and treat the initiation as a Hold at the reference price.

Reference price	**$43.39**
Bear target	**$42.32**
Base target	**$77.96**
Bull target	**$119.84**
Blended target	**$79.52**
Terminal value share of Base enterprise value	**92.5%**

BUY | $79.52 BLENDED TARGET | WEN

The reverse DCF: what the market prices in

The market-implied revenue CAGR is 10.7%, none.

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Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$2.63B	$150M	$2.78B	**$42.32**
Base	$4.97B	$150M	$5.12B	**$77.96**
Bull	$7.72B	$150M	$7.87B	**$119.84**

Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 92.5% of Base enterprise value (Bear 91.4%, Bull 92.8%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

SCENARIO	2026	2027	2028	2029	2030	2031
Bear	$42.32	$46.72	$51.49	$56.28	$61.05	$65.79
Base	$77.96	$86.06	$94.93	$104.03	$113.18	$122.23
Bull	$119.84	$132.29	$145.95	$160.10	$174.41	$188.48

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $79.52 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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The franchise deep dive

Activated policies +133% YoY in Q2 2026 to 107,847; H1 activations 196,220

FY2026 guidance: revenue $727-731M, adjusted EBITDA $119-123M; $100M Class A repurchase authorized

Revenue and margin trend

METRIC	2024	2025	H1 2026
Revenue	$254.9M	$387.6M	$382.7M

Valuation cross-check

EV/Sales 4.6x TTM, 3.7x on FY2026 guidance

DCF Base $77.96

Reverse DCF implied CAGR 10.7% vs Base 26.1%

LIFE 4.6x EV/Sales TTM and 3.7x on FY2026 guidance

Broker and distribution peers at 3.0-5.4x EV/Sales TTM: AJG 5.4x, BRO 4.4x, GSHD 3.5x, BWIN 3.5x, RYAN 3.0x

LIFE trades inside the peer pack on sales while growing far faster (revenue +113% YoY in Q2 2026 against peers at +7% to +31%), so the discount is growth-adjusted, not headline. The offset is margin quality: LIFE's GAAP operating margin of 9.6% trails the mature brokers' roughly 19-25%, and closing that gap depends on SBC normalization.

Public only since the January 2026 IPO, so no multi-year multiple range exists

At the October 30 close of $43.39 the shares trade at 4.6x TTM sales and 3.7x guided FY2026 sales

With ten months of trading history there is no established range to revert to. The valuation case rests on the forward path (guided +88% FY2026 growth decelerating on our scenario path), not on history, and the score reflects the absence of a historical anchor rather than a negative signal.

What to monitor

Nov-2026. Q3 2026 print against guided revenue of $160-164M and adjusted EBITDA of $23-25M

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Financial summary: income statement

YEAR	REVENUE	GROSS PROFIT	OPERATING INCOME	EBITDA
2024	$255M	—	$49M	$54M
2025	$388M	—	$73M	$78M

Balance sheet

YEAR	TOTAL ASSETS	TOTAL LIABILITIES	TOTAL EQUITY	CASH
2024	$396M	$99M	$-107M	$35M
2025	$515M	$135M	$-24M	$91M

Cash flow

YEAR	OPERATING CF	CAPEX	FINANCING CF	FREE CF
2024	$-11M	$-776K	$22M	$-12M
2025	$36M	$-1M	$-12M	$35M

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $79.52 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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Agency risk score 65 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 8.46% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $36.69M of sales, a net flow of -$36.69M. One-year total shareholder return is +158.9% against CEO total pay of $470.8K (Mr. Peter George Colis), which the model scores as PERFORMANCE EARNED.

65

AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	25 / 40	8.46% of shares held by insiders
Form 4 Flow (Conviction Flow)	14 / 30	Buys $0 (0) vs sales $36.69M (18), net -$36.69M, trailing six months
Pay-for-Performance	26 / 30	PERFORMANCE EARNED: Stock Outperformance Matches Comp Structure. 1Y TSR +158.9%; Mr. Peter George Colis, Co-Founder, CEO & Chair of Board of Directors, total pay $470.8K
Agency Risk Score	**65 / 100**	Regime: BALANCED / TYPICAL CORPORATE

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-08-21	Colis Peter George	Chief Executive Officer	SELL	84,448	$2.80M
2026-08-20	Sc Us Ttgp, Ltd.	Beneficial Owner of more than 10% of a Class of Security	SELL	142,616	$4.71M
2026-08-20	Kucharski Brandt Walter	Officer	SELL	8,735	$283.7K
2026-08-20	Wang Lingke	President	SELL	118,333	$3.94M
2026-08-17	Kucharski Brandt Walter	Officer	SELL	83,047	$2.90M
2026-08-17	Wang Lingke	President	SELL	22,623	$775.6K
2026-08-17	Capozzi Christopher M.	Chief Financial Officer	SELL	26,184	$893.9K
2026-08-17	Colis Peter George	Chief Executive Officer	SELL	29,342	$1.00M

SEC proxy audit

N/A. The weekly DEF 14A proxy pipeline holds no CD&A audit record for this ticker, so no audit findings are shown.

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 31 October 2026 for this note.

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The bear case

Carrier Concentration

Carrier concentration: Carrier A 41% and Carrier B 38% of H1 2026 revenue

ARPU Compression and Agent Persistency

ARPU down 8% YoY on channel and product mix; third-party agent persistency requires active termination discipline

The strengths

Growth

Revenue +113% YoY in Q2 2026 and +108% in H1; activations +133% YoY; FY2026 guided +88%. Scored below the ceiling because growth is volume-led with ARPU down 8% YoY and the guide already embeds deceleration.

Operating Quality

Contribution margin 33% and adjusted EBITDA margin 19% in Q2 2026, but GAAP operating margin is 9.56% after SBC; margin quality depends on SBC normalization that has not yet printed for a full year.

Balance Sheet

Net cash of $150.09M on the house bridge (cash plus current investments less the commissions-sale liability); no borrowings; a $324.28M commissions-receivable stock as a contracted asset.

Cash Conversion

Operating cash flow of $66.869M in H1 2026 is real, but the commissions-receivable build absorbed $71.275M in the same period; conversion improves only as growth decelerates.

Cascadia scorecard

Composite score 67: Attractive. Confidence Medium, as of 30-Oct-2026.

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PILLAR	RATIONALE	SCORE
Growth	Revenue +113% YoY in Q2 2026 and +108% in H1; activations +133% YoY; FY2026 guided +88%. Scored below the ceiling because growth is volume-led with ARPU down 8% YoY and the guide already embeds deceleration.	88
Operating Quality	Contribution margin 33% and adjusted EBITDA margin 19% in Q2 2026, but GAAP operating margin is 9.56% after SBC; margin quality depends on SBC normalization that has not yet printed for a full year.	62
Balance Sheet	Net cash of $150.09M on the house bridge (cash plus current investments less the commissions-sale liability); no borrowings; a $324.28M commissions-receivable stock as a contracted asset.	85
Cash Conversion	Operating cash flow of $66.869M in H1 2026 is real, but the commissions-receivable build absorbed $71.275M in the same period; conversion improves only as growth decelerates.	55
Moat and Durability	Distribution challenger with no underwriting risk but severe carrier concentration (Carrier A 41%, Carrier B 38% of H1 revenue) and no pricing power over carriers; moat cross-check held at 0%.	40
Valuation	At $43.39 the market implies 10.7% five-year revenue CAGR on Base margins against a Base path of 26.1% and a Bear path of 17.9%; Base target is +79.7% above spot.	90

Investment view

A Q3 2026 print that misses the guided $160-164M revenue range, ARPU compression accelerating past low double digits, loss of Carrier A or B distribution, or SBC failing to normalize below about 6% of revenue would each weaken the case; two together would end it.

Investment view: Buy. The $79.52 blended target implies +83%, balancing the $42.32 / $77.96 / $119.84 Bear / Base / Bull outcomes.

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